Unit 1 Rapid-Fire Questions & Answers (Organised by Specification)

1.3.1 Meeting Customer Needs

Q: What is a niche market?

A: A small, specific segment of a larger market.

Q: What is market segmentation?

A: Dividing a market into groups with similar needs.

Q: Give one benefit of primary research.

A: It is specific and up-to-date.

Q: Give one drawback of secondary research.

A: It may be outdated or not specific enough.

Q: What is qualitative data?

A: Non-numerical data about opinions and feelings.

Q: What is quantitative data?

A: Numerical data such as statistics and figures.

Q: What does “market positioning” mean?

A: How a product is perceived compared to competitors.

Q: Name one way a business can reduce risk.

A: Conduct market research.

Q: What is the difference between risk and uncertainty?

A: Risk is measurable; uncertainty is unpredictable.

Q: Give one example of a dynamic market.

A: Technology/smartphone market.

1.3.2 The Market

Q: State the law of demand.

A: As price increases, demand decreases.

Q: State the law of supply.

A: As price increases, supply increases.

Q: What causes a demand curve shift? Give one example.

A: Changes in incomes, tastes, or population.

Q: What causes a supply curve shift? Give one example.

A: Changes in costs of production.

Q: What is equilibrium?

A: The point where supply equals demand.

Q: Give the formula for PED.

A: % change in quantity demanded / % change in price.

Q: What does a PED value of -0.2 mean?

A: Demand is price inelastic.

Q: What is YED?

A: Income elasticity of demand.

Q: What does a negative YED value indicate?

A: An inferior good.

Q: Give one factor that affects PED.

A: Availability of substitutes.

1.3.3 Marketing Mix & Strategy

Q: What is the design mix?

A: Function, aesthetics, cost.

Q: Name one social trend that affects design.

A: Sustainability.

Q: What is branding?

A: Creating a unique identity for a product.

Q: Give one benefit of strong branding.

A: Customer loyalty.

Q: Name one pricing strategy.

A: Penetration pricing.

Q: What is penetration pricing?

A: Low prices to enter a market.

Q: What is price skimming?

A: High initial price then lowered.

Q: What is the Boston Matrix?

A: A tool assessing product performance.

Q: Name the four categories in the Boston Matrix.

A: Stars, Cash Cows, Question Marks, Dogs.

Q: Give one example of promotion.

A: Advertising.

1.3.4 Managing People

Q: What is meant by “staff as an asset”?

A: Employees are valued and developed.

Q: What is meant by “staff as a cost”?

A: Employees viewed as an expense.

Q: Give one benefit of a flexible workforce.

A: Adaptability to demand changes.

Q: Define “redundancy.”

A: Job no longer needed.

Q: Define “dismissal.”

A: Being fired for misconduct.

Q: What is internal recruitment?

A: Hiring from within the business.

Q: Give one drawback of external recruitment.

A: Higher cost and time.

Q: What is on-the-job training?

A: Training at the workplace.

Q: What is off-the-job training?

A: Training away from the workplace.

Q: Define “span of control.”

A: Number of staff a manager oversees.

Q: What is delayering?

A: Removing layers of hierarchy.

Q: Name one motivation theory.

A: Maslow’s hierarchy.

1.3.5 Entrepreneurs & Leaders

Q: What is an entrepreneur?

A: Someone who starts and runs a business.

Q: Name one characteristic of an entrepreneur.

A: Risk-taking.

Q: Name one entrepreneur motive.

A: Independence.

Q: What is limited liability?

A: Owners only lose what they invest.

Q: What is a sole trader?

A: Individual who owns a business.

Q: Define intrapreneurship.

A: Employees innovating within a company.

Q: What is opportunity cost?

A: Next best alternative forgone.

Q: Give one barrier to entrepreneurship.

A: Lack of finance.